Superior Court of the State of California, County of Orange

TENTATIVE RULINGS FOR DEPARTMENT C16

HON. JUDGE CARMEN R. LUEGE

Date: August 7th, 2026
Posted: August 6th, 4:30 PM

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#	Case Name	Tentative
49	**Garcia vs. Flagship Post Acute, LLC** **25-01517732**	**Motion to Compel Arbitration** Defendants Flagship Post Acute, LLC dba Pelican Ridge Post Acute ("Pelican Ridge Post Acute") and Lawrence Talebi's motion to compel Plaintiff Dannise Garcia to arbitrate the controversy alleged in Plaintiff's Complaint is GRANTED. The case is ordered STAYED pending completion of arbitration as to the entire action. To the extent Plaintiff seeks to strike the declarations of Defendant Lawrence Talebi (ROA 93), the request is DENIED. As an initial matter, a meet and confer is not required to bring the instant motion to compel arbitration. Plaintiff asserts that there is a statutory requirement to meet and confer prior to filing a motion to compel arbitration and cites to Local Rule 315 and Code of Civil Procedure sections 2016.040 and 2023.020 in support of this contention. Local Rule 315 requires the parties to meet and confer to: (1) discuss the presently available facts which support the allegations in each party's pleadings; (2) discuss possible settlement of the action including possible arbitration; and (3) exchange preliminary schedules of discovery. (Local Rules – Superior Court of California, County of Orange, rule 315.) It is the plaintiff's responsibility to arrange the conference and to prepare the joint Meet and Confer Statement. (Id.) A failure to comply may result in sanctions. (*Id*.) A meet and confer is not a prerequisite to filing a motion to compel arbitration under Local Rule 315. Code of Civil Procedure section 2016.040 concern the for a meet and confer declaration for discovery motions while section 2023.020 addresses the sanctions for failing to meet and confer in connection with a discovery motion. <u>The Arbitration Provision</u> This motion is brought pursuant to <u>**MUTUAL AGREEMENT TO ARBITRATE CLAIMS**</u> ("Arbitration Agreement") dated 2/2/2022. The arbitration agreement reads, in part: 1. <u>**Claims Covered by this Agreement**</u>. To the maximum extent allowed by law, the Company and I (collectively referred to as '"the parties") mutually consent to the resolution by arbitration of all claims or causes of action, except as provided in Paragraph 2 below, that the Company may have against me or that I may have against the Company or the Company's agents, owners, shareholders, current and former officers and directors, current and former employees, parent, subsidiary and affiliated entities,

> all benefit plans, the benefit plans' sponsors, fiduciaries, administrators, affiliates, and all successors and assigns of any of them. The claims covered by this Agreement include, but are not limited to: claims for breach of any contract or covenant (express or implied); tort claims; disputes with respect to compensation, wages, and benefits (except where an employee benefit or retirement plan specifies that its claims procedures shall culminate in an arbitration procedure different from this); claims for discrimination or harassment (including, but not limited to, race, sex, religion, national origin, ancestry, age, marital status, military or veteran's status, medical condition, genetic information, gender identity or expression, pregnancy, mental or physical disability, or sexual orientation); claims for retaliation; claims for violation of public policy; and claims for violation of any federal, state, or other law, statute, regulation or ordinance including, but not limited to, all claims arising under Title VII of the Civil Rights Act of 1964, as amended, the Age Discrimination in Employment Act of 1967, the Equal Pay Act, the Americans with Disabilities Act, the California Fair Employment & Housing Act, the Family and Medical Leave Act, the California Family Rights Act, the California Labor Code, the Fair Labor Standards Act, and all similar federal and state statutes or local ordinances.

(Talebi Decl. ¶ 10, Exh. A, Sec. 1.)

<u>Existence of an Arbitration Agreement</u>

The FAA governs this motion. The FAA applies to contracts "evidencing a transaction involving commerce." (9 U.S.C. § 2.) The Arbitration Agreement affects interstate commerce because Pelican Ridge Post Acute participates in federally funded healthcare programs, such as Medicare and Medi-Cal. (*Willis v. Prime Healthcare Services, Inc.* (2014) 231 Cal.App.4th 615, 626 ["Payments of Medicare or Medicaid funds are transactions involving commerce."]; *United States v. Girod* (2011) 646 F.3d 304, 315 ["… Medicaid … is a federally funded program that indisputably affects interstate commerce."].) Additionally, the Arbitration Agreement provides that it is "subject to and governed by the Federal Arbitration Act." (Talebi Decl. ¶ 10, Exh. A, Sec. 5 [ROA 16].)

The FAA states that written arbitration agreements "shall be valid, irrevocable, and enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract." (9 U.S.C. § 2.) The United States Supreme Court has described this provision as reflecting both a "liberal federal policy favoring arbitration," and the "fundamental principle that arbitration is a matter of contract." (*AT&T Mobility LLC v. Concepcion* (2011) 563 U.S. 333, 339.)

		The FAA permits agreements to arbitrate to be invalidated by "generally applicable contract defenses, such as fraud, duress, or unconscionability." (*Concepcion*, *supra*, 563 U.S. at p. 339.) When deciding whether a valid arbitration agreement exists, courts generally apply "ordinary state-law principles that govern the formation of contracts." (*First Options of Chicago, Inc. v. Kaplan* (1995) 514 U.S. 938, 944.) "[T]he party resisting arbitration bears the burden of proving that the claims at issue are unsuitable for arbitration." (*Green Tree Fin. Corp. v. Randolph* (2000) 531 U.S. 79, 91.) A party moving to compel arbitration bears an initial burden of producing "prima facie evidence of a written agreement to arbitrate the controversy." (*Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 165–166.) The moving party "can meet its initial burden by attaching to the [motion or] petition a copy of the arbitration agreement purporting to bear the [opposing party's] signature." (*Bannister v. Marinidence Opco, LLC* (2021) 64 Cal.App.5th 541; see also *Espejo v. Southern California Permanente Medical Group* (2016) 246 Cal.App.4th 1047, 1060 [holding same].) For this step, "it is not necessary to follow the normal procedures of document authentication." (*Condee v. Longwood Management Corp*. (2001) 88 Cal.App.4th 215, 218.) If the moving party meets its initial prima facie burden and the opposing party does not dispute the existence of the arbitration agreement, then nothing more is required for the moving party to meet its burden of persuasion. Defendants met their initial burden of producing "prima facie evidence" of the existence of the subject arbitration agreement by providing a copy of the Arbitration Agreement and authenticating it. (Talebi Decl. ¶ 10, Exh. A.) Defendants also produced the declaration of Lawrence Talebi, the Administrator at Pelican Ridge Post Acute. (Talebi Decl. ¶ 2.) Talebi declares Pelican Ridge Post Acute's Arbitration Agreement is one of the documents included in Pelican Ridge Post Acute's new hire packet and provided to newly hired employees. (*Id*. at ¶ 4.) It is standard practice for newly hired staff to receive a copy of the Arbitration Agreement in their new hire packet. (Id.) It is Pelican Ridge Post Acute's procedure to have each new employee attend an orientation session. (*Id*. at ¶ 5.) During the orientation session, each document in the new hire packet, including the Arbitration Agreement, is thoroughly reviewed. (Id.) When the employees return the new hire paperwork, Pelican Ridge Post Acute verifies that there are complete copies of the required documents, including Arbitration Agreement, in the returned new hire packet. (*Id*. at ¶ 6.) The documents are also reviewed for employee information and signatures. (*Id*.) Talebi was present at Plaintiff's new hire orientation on or about February 2, 2022 and is aware that Plaintiff received Pelican Ridge Post Acute's new hire packet, including the Arbitration Agreement. Plaintiff signed the Arbitration Agreement on February 2, 2022. (*Id*. at ¶ 8.) Plaintiff did not ask Talebi any questions or voice any concerns about

the Arbitration Agreement prior to signing it. (*Id*.) Talebi reviewed Plaintiff's Arbitration Agreement and also signed the Arbitration Agreement on February 2, 2022. (*Id*. at ¶ 9.)

Validity of the Arbitration Agreement

The FAA provides, in relevant part, "[a] written provision in ... a contract evidencing a transaction involving commerce to settle by arbitration a controversy thereafter arising out of such contract or transaction, or the refusal to perform the whole or any part thereof ... shall be valid, irrevocable, and enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract ...." (9 U.S.C. § 2; see *Rent-A-Center, West, Inc. v. Jackson* (2010) 561 U.S. 63, 70 [an arbitration agreement "is valid under § 2 [of the FAA] 'save upon such grounds as exist at law or in equity for the revocation of any contract' "].)

Signed Arbitration Agreement

Because Defendants produced prima facie evidence of a written agreement to arbitrate, Plaintiff bears the "burden of producing evidence to challenge the authenticity of the agreement. [Citation.] The opposing party can do this in several ways. For example, the opposing party may testify under oath or declare under penalty of perjury that the party never saw or does not remember seeing the agreement, or that the party never signed or does not remember signing the agreement. [Citations.]" (*Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 165.)

Plaintiff declares that she did not receive a copy of the Arbitration Agreement as a new hire or at any time during her employment with Defendants. (Garcia Decl. ¶¶ 3-4.) Plaintiff further declares that she did not receive a copy of the Arbitration Agreement at any time during the orientation. (*Id*. at ¶ 6.) Plaintiff asserts that the prior Director of Staffing, Sindul Aguilar, provided Plaintiff with the new hire packet and that Talebi was not present at Plaintiff's new hire orientation. (*Id*. ¶¶ 8-10.) Plaintiff's new hire packet did not include an Arbitration Agreement. (*Id*. at ¶¶ 7, 9.) Plaintiff returned the new hire packet to Aguilar, not Talebi. (*Id*. ¶¶ 7, 11.) Plaintiff never signed an Arbitration Agreement. (*Id*. ¶ 12.) Plaintiff declares that the signature on the Arbitration Agreement is not her signature and that Plaintiff's Driver's License and Workers' Compensation claim forms reflect her signature. (*Id*. at ¶ 13.)

Plaintiff states that the complete employee files had to be re-done when Plaintiff replaced Aguilar as Director of Staffing in May 2022. (Garcia Decl. ¶ 14.) Arbitration files were included. (*Id*.) Defendants did not explain the Arbitration Agreements. (*Id*.) Plaintiff reviewed her employment file on or about June 4, 2024 and there was no Arbitration Agreement. Plaintiff declares that she witnessed Talebi sign Arbitration

Agreements for other employees without their consent outside of the new hire orientation. (*Id*. at ¶ 18.)

Plaintiff also submitted the declarations of Gabriela Aguirre Lopez and Jair J. Barrantes. (ROA 68.) Lopez declares that she signed general application documents with Payroll and did not sign an arbitration agreement. (Lopez Decl. ¶ 4.) Barrantes declares that he signed general application documents with "Sindol" and does not recall signing an arbitration agreement being discussed by either Sindol or Lawrence. (Barrantes Decl. ¶ 4.) Neither Lopez nor Barrantes declare that they were present at Plaintiff's new hire orientation or provide any other evidence in connection with whether a valid Arbitration Agreement exists between Plaintiff and Defendants. (See generally Lopez Decl. and Barrantes Decl.)

Plaintiff has met her burden of producing evidence. Thus, Defendants must establish with admissible evidence a valid arbitration agreement between the parties. The burden of proving the agreement by a preponderance of the evidence remains with the moving party. (*Gamboa*, *supra*, 72 Cal.App.5th at pp. 165–166.)

In response to Plaintiff's declaration, Talebi submitted a Reply declaration. (ROA 89.) Talebi declares that the new hire packet presented to newly hired employees includes the Arbitration Agreement, an Employee Handbook Acknowledgment, and a Job Description Acknowledgment. (Talebi Reply Decl. ¶ 6.) Attached as Exhibit "B" to Talebi's Reply declaration are Plaintiff's executed Employee Handbook Acknowledgment and Licensed Vocational Nurse (LVN) Job Description Acknowledgement, both dated February 2, 2022. (*Id*. ¶ 7, Exh. B.)

In deciding whether to compel arbitration, "the trial court sits as a trier of fact, weighing all the affidavits, declarations, and other documentary evidence, as well as oral testimony received at the court's discretion, to reach a final determination." (*Engalla*, supra, 15 Cal.4th at p. 972.)

Defendants have produced contemporaneous examples of Plaintiff's signature as follows: (1) the Employee Handbook Acknowledgment signed by Plaintiff and dated February 2, 2022; and (2) the Licensed Vocational Nurse (LVN) Job Description also signed on February 2, 2022. (Ex. B attached to Talebi Reply Decl. ¶ 6 [ROA 89].) Plaintiff acknowledges that she received and returned the new hire packet. (Garcia Decl. ¶¶ 7, 9.) Therefore, the signatures on the Employee Handbook and the LVN Job Description are probative to show Plaintiff's signature in 2022. The Court compared the signatures on the Arbitration Agreement signed on February 2, 2022, to the signatures on the Employee Handbook Acknowledgment and the LVN Job Description also signed on February 2, 2022. The Cour finds that the signatures appear to be the same on the three documents.

Although Plaintiff declares that the signature on the Arbitration Agreement is not her signature, Plaintiff has not provided the Driver's License and Workers' Compensation claim forms or any other official governmental documents that reflect her signature. Thus, there is no evidence to corroborate Plaintiff's position that Flagship Post Acute employees forged Plaintiff's signature on the Arbitration Agreement. The Court also notes that Plaintiff's signature on her declaration attached to the Opposition looks small and smudged. For this reason, it is not probative evidence of Plaintiff's true signature in 2022. Accordingly, Defendants have established the existence of a written arbitration agreement between the parties by a preponderance of the evidence.

Ending Forced Arbitration of Sexual Assault and Sexual Harassment Act of 2021

Congress amended the FAA in 2022 by adopting the Ending Forced Arbitration of Sexual Assault and Sexual Harassment Act of 2021 ("EFAA"), which provides that subject to the plaintiff's election, "no predispute arbitration agreement … shall be valid or enforceable with respect to a case which … relates to [a] sexual assault dispute or [a] sexual harassment dispute." (9 U.S.C. § 402, subd. (a).) A " 'sexual assault dispute' " is "a dispute involving a nonconsensual sexual act or sexual contact …." (9 U.S.C. § 401, subd. (3).) And a " 'sexual harassment dispute' " is "a dispute relating to conduct that is alleged to constitute sexual harassment under applicable Federal, Tribal, or State law."(9 U.S.C. § 401, subd. (4).) California law contains no similar exception.

"In general terms, the EFAA renders arbitration agreements unenforceable at the plaintiff's election in sexual assault and sexual harassment cases that arise or accrue on or after March 3, 2022, the EFAA's effective date." (*Doe v. Second Street Corp.* (2024) 105 Cal.App.5th 552, 559.)

Defendants contend the EFAA is inapplicable because Plaintiff failed to adequately state a claim for sexual harassment. California courts have recently converged on a plausibility standard for determining whether a complaint adequately states a sexual harassment claim for EFAA purposes. In *Quilala v. Securitas Sec. Servs. USA, Inc*. (2025) 117 Cal. App. 5th 75, the First District Court of Appeal held that the trial court correctly determined that the plaintiff's allegations "stated a plausible claim of sexual harassment under FEHA, bringing the dispute within the scope of the EFAA." In *Decloedt v. Radnet Mgmt., Inc*. (2026) 346 Cal. Rptr. 3d 45, the Second District Court of Appeal expressly applied the federal Rule

		12(b)(6) framework, requiring that the complaint "must contain sufficient factual matter, accepted as true, to 'state a claim to relief that is plausible on its face.'" “A claim has facial plausibility when the plaintiff pleads factual content that allows the court to draw the reasonable inference that the defendant is liable for the misconduct alleged. [Citation.] The plausibility standard is not akin to a ‘probability requirement,’ but it asks for more than a sheer possibility that a defendant has acted unlawfully.” (*Ashcroft v. Iqbal* (2009) 556 U.S. 662, 678.) Here, the Complaint alleges Plaintiff was harassed and discriminated against, in part, due to her race, nationality, and age. Specifically, the Complaint alleges employees who were Filipino, Indonesian, or other races were favored with treatment that was respectful, were fairly paid, and were provided with rest and meal periods while Plaintiff, who is Hispanic, was not. (Compl. ¶¶ 9L, 10L, 16L, 22L, 28L, 29L, 35L, 41L, 47L, 57L, 63L, 77L, 86L, 94L, 97L, 98L.) Plaintiff was replaced with a younger employee of a different nationality and race than Plaintiff. (*Id*.) Although the Complaint alleges there is “overwhelming evidence of [Plaintiff’s employer’s] sexual harassment” (*id*. at ¶¶ 41, 47, 53, 53M, 63, 73, 98), the Complaint fails to allege any facts to support the conclusory statements that Plaintiff was sexually harassed. Accordingly, the complaint cannot be reasonably construed to allege sexual harassment under the plausibility standard applied in *Decloedt.* For these reasons, the Arbitration Agreement is not subject to the EFAA. *Waiver* “[W]aiver of an arbitration agreement governed by the FAA is evaluated under federal rather than state law. [Citations.]” (*Dardashty v. Hyundai Motor America* (C.D. Cal. 2024) 745 F.Supp.3d 986, 998; see also *Morgan v. Sundance, Inc.* (2022) 596 U.S. 411, 417 [assuming without deciding that the Courts of Appeals resolving questions of waiver as a matter of federal law are “right to do so”].) “[T]he test for waiver of the right to compel arbitration consists of two elements: (1) knowledge of an existing right to compel arbitration; and (2) intentional acts inconsistent with that existing right.” (*Hill v. Xerox Bus. Servs., LLC* (9th Cir. 2023) 59 F.4th 457, 468 [also explaining the Supreme Court “has removed prejudice to the non-moving party as an element of waiver in the context of arbitration contracts.”]. Here, it is undisputed Defendants knew of the arbitration agreement and their right to compel arbitration. Thus, Defendants’ waiver of their ability

to compel arbitration depends on whether Defendants engaged in acts inconsistent with the right to arbitrate.

"There is no concrete test to determine whether a party has engaged in acts that are inconsistent with its right to arbitrate … however [ ] a party's extended silence and delay in moving for arbitration may indicate a 'conscious decision to continue to seek judicial judgment on the merits of [the] arbitrable claims,' which would be inconsistent with a right to arbitrate." (*Martin v. Yasuda* (9th Cir. 2016) 829 F.3d 1118, 1125.) Additionally, "a party generally acts inconsistently with exercising the right to arbitrate when it (1) makes an intentional decision not to move to compel arbitration and (2) actively litigates the merits of a case for a prolonged period of time in order to take advantage of being in court. [Citation]." (*Armstrong v. Michaels Stores, Inc.* (9th Cir. 2023) 59 F.4th 1011, 1015.) The central question is whether a party's actions, "even if seemingly commonplace and not an express disavowal of arbitral forums, evinced the party's partiality for a judicial resolution of the claims." (*Hill*, *supra*, 59 F.4th at p. 472.)

Plaintiff appears to contend Defendants waived their right to arbitrate because there was no meet and confer. As discussed above, a meet and confer is not required to bring an instant motion to compel arbitration. Next, Plaintiff appears to contend that Defendants waived the Arbitration Agreement by engaging in discovery. Defendants' engagement in discovery is not sufficient to find waiver, particularly because Plaintiff was the party that propounded the discovery requests and moved to compel their responses. (*Newirth by and through Newirth v. Aegis Senior Communities, LLC* (9th Cir. 2019) 931 F.3d 935, 941 ['parties do not act inconsistently with a right to compel arbitration when they engage in litigation activities that do not evince a decision to take advantage of the judicial forum"], *abrogated on other grounds, Morgan v. Sundance, Inc.* (2022) 596 U.S. 411, 418.) Further, Defendants did not delay in bringing their motion to compel arbitration. Plaintiff commenced this action on October 8, 2025 (ROA 2) and Defendants filed the instant motion to compel arbitration on November 19, 2025 (ROA 14). Plaintiff has not met her burden to show Defendants waived their right to arbitrate.

Unconscionability

Arbitration agreements are contracts, and thus they are subject to generally applicable contract defenses, such as unconscionability. (*Ramirez v. Charter Communications, Inc.* (2024) 16 Cal.5th 478, 492; *OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 125; *Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC* (2012) 55 Cal.4th 223, 246.) " 'A contract is unconscionable if one of the parties lacked a meaningful choice in deciding whether to agree and the contract contains terms that are unreasonably favorable to the other party.' (*Kho*,

		supra, 8 Cal.5th at p. 125.)" (*Fuentes v. Empire Nissan, Inc*. (2026) 19 Cal.5th 93, 102–103.) Unconscionability has both a substantive and procedural element. (*Fuentes*, *supra*, 19 Cal.5th at p. 103.) " 'The procedural element addresses the circumstances of contract negotiation and formation, focusing on oppression or surprise due to unequal bargaining power.' " (*Kho*, *supra*, 8 Cal.5th at p. 125.) This element "is generally established by showing the agreement is a contract of adhesion, i.e., a 'standardized contract which, imposed and drafted by the party of superior bargaining strength, relegates to the subscribing party only the opportunity to adhere to the contract or reject it.' " (*Ramirez*, *supra*, 16 Cal.5th at p. 492.) Substantive unconscionability " 'pertains to the fairness of an agreement's actual terms and to assessments of whether they are overly harsh or one-sided.' (*Pinnacle*, *supra*, 55 Cal.4th at p. 246, 145 Cal.Rptr.3d 514, 282 P.3d 1217.)" (*Kho*, *supra*, 8 Cal.5th at p. 125.) "Both procedural and substantive unconscionability must be shown for the defense to be established …." (*Id*.) Plaintiff contends the Arbitration Agreement is procedurally unconscionable due to the EFAA and because there was no onboarding process for Plaintiff. (Opp. at 13:7-8, 13:15 [ROA 68].) As discussed above, the Arbitration Agreement is not subject to the EFAA. Plaintiff acknowledges that she participated in an orientation session with Defendants, where she was provided with a new hire packet, later returned the new hire packet, and met with either Aguilar or Talebi. (Garcia Decl. ¶¶ 6-11 [ROA 68]; Talebi Decl. ¶¶ 7-8.) Plaintiff has not shown procedural unconscionability; nor has Plaintiff demonstrated substantive unconscionability. Plaintiff challenged the authenticity of the Arbitration Agreement, but did not identify any substantively unconscionable terms. Plaintiff has not met her burden to show the Arbitration Agreement is unconscionable. *Plaintiff's Discovery Motions* Plaintiff asserts that she will be irreparably harmed if the motion to compel arbitration is decided prior to Plaintiff's motions to compel responses to interrogatories and motions to compel responses to requests for production of documents are heard. (Opp. at 8:27-9:5.) On April 8, 2026, Judge De La Cruz sua sponte narrowed the scope of Plaintiff's outstanding written discovery propounded on Defendant to include "all documents and communications referring or relating to the Arbitration Agreement, attached as Exhibit A to the Motion to Compel Arbitration. Defendant ordered to provide verified response by no later than Apri 22, 2026." (ROA 75 [04/06/26 Minute Order].) Defendant's counsel declares Defendants timely provided verified responses. (Yang Reply Decl. ¶ 7 [ROA 91].) Plaintiff has not raised any issue of deficient responses or requested supplemental responses by the statutory

		deadline. (*Id*.) Additionally, the court notes the Arbitration Agreement provides for "written discovery and depositions as provided in the Federal Rules of Civil Procedure …." (Talebi Decl. ¶ 10, Exh. A, Sec. 7(d).) Based on the foregoing, the motion to compel arbitration is granted. Defendants to give notice.
50	**Lynch vs. MDxHealth, Inc.** **25-01535895**	**Demurrer to Complaint** The Demurrer to the Complaint brought by Defendants MDxHealth, Inc., Brian Wiest and Karen Murvin is OVERRULED, as to the First, Fourth and Sixth Causes of Action. The Demurrer is SUSTAINED, with 15-days leave to amend, as to the Second, Third, Fifth, Seventh and Eighth Causes of Action. The Demurrer to the First Cause of Action for Discrimination is OVERRULED. In challenging the sufficiency of this claim, the demurrer firstly argues that Plaintiff conceded poor performance. A required element of a claim for discrimination is that Plaintiff was "performing satisfactorily" in their position. (*Sandell v. Taylor-Listug, Inc.* (2010) 188 Cal.App.4th 297, 321.) Per the Complaint, Plaintiff was issued a "Performance Improvement Plan ('PIP')" in June of 2024, for allegedly "less than satisfactory performance." (¶14(b) of Complaint.) However, this placement was "inconsistent with [Plaintiff's] objectively strong performance record" and his "national ranking." (*Ibid.*) Moreover, the Complaint alleges that, throughout his employment, Plaintiff "received consistent praise for exceeding expectations and was regularly ranked among the top Strategic Account Managers nationwide." (¶12 of Complaint.) The above is sufficient to allege Plaintiff was performing satisfactorily, and to raise an inference the Performance Improvement Plan was not genuinely based on performance. Additionally, Defendant argues that Plaintiff has not alleged circumstances which suggest discrimination, given he concedes his replacement was 40 years old (¶15(e) of Complaint); however, as noted by Plaintiff, "[i]t is both logically and practically possible for an employer to discriminate against a person on the basis of a protected personal characteristic despite the fact that the person is replaced by someone

with the same characteristic." (*Begnal v. Canfield & Associates, Inc.* (2000) 78 Cal.App.4th 66, 74.)

Further, consistent with the circumstances referenced in *Sandell v. Taylor-Listug, Inc.* (2010) 188 Cal.App.4th 297, Plaintiff has alleged he was replaced by someone significantly younger. (*Id.* at p. 321.) Per the Complaint, Plaintiff was replaced with someone 23-years his junior. (¶11 and ¶15(e) of Complaint.) The Complaint further alleges that Plaintiff was the oldest employee in his job title and the only Strategic Account Manager placed on a PIP. (¶14(b) of Complaint.)

The above allegations are sufficient to "give rise to an inference of unlawful discrimination." (*Sandell v. Taylor-Listug, Inc.* (2010) 188 Cal.App.4th 297, 321.)

Given Plaintiff has sufficiently alleged a claim for discrimination, the demurrer to the Fourth Cause of Action for Failure to Prevent Discrimination is likewise OVERRULED. Similarly, as discrimination violates public policy, the Demurrer to the Sixth Cause of Action for Wrongful Termination, is OVERRULED. (See *Prue v. Brady Co./San Diego, Inc.* (2015) 242 Cal.App.4th 1367, 1379.)

The demurrer to the Second Cause of Action for Harassment is SUSTAINED, as Plaintiff has alleged only personnel management actions which cannot support liability. (*Serri v. Santa Clara University* (2014) 226 Cal.App.4th 830, 870; See also *Janken v. GM Hughes Electronics* (1996) 46 Cal.App.4th 55, 64-65.)

To establish harassment, Plaintiff relies on the following allegations: Defendant MDxHealth, Inc. placed him on a Performance Improvement Plan, despite his strong performance record, which imposed a "burdensome list of objectives." (¶14(b) and ¶14(c) of Complaint.) Defendant Brian Wiest "repeatedly canceled scheduled check in meetings" before ultimately informing Plaintiff he was being terminated. (¶14(d) and ¶15(a) of Complaint.) Finally, Defendant Murvin, the alleged Human Resources representative who took over the termination call, "informed [Plaintiff] in a dismissive manner that he was being terminated," "aggressively stated that [Plaintiff] was an at will employee," and then "failed to identify any legitimate basis for the termination." (¶15(b) of Complaint.)

"[C]ommonly necessary personnel management actions such as hiring and firing, job or project assignments, office or workstation assignments, promotion or demotion, performance evaluations, the provision of support, the assignment or nonassignment of supervisory functions, deciding who will and who will not attend meetings, deciding who will be laid off, and the like, do not come within the meaning of harassment." (*Serri v. Santa Clara University* (2014) 226 Cal.App.4th 830, 870; See also

		Janken v. GM Hughes Electronics (1996) 46 Cal.App.4th 55, 64-65.) "Harassment, by contrast, consists of actions outside the scope of job duties which are not a type necessary to business and personnel management." (*Janken v. GM Hughes Electronics* (1996) 46 Cal.App.4th 55, 65.) Citing *Roby v. McKesson Corp.* (2009) 47 Cal.4th 686 (*"Roby")*, Plaintiff asserts personnel management actions *can* demonstrate harassment; however, the circumstances within this case are distinguishable. Here, Plaintiff does not allege a widespread pattern of bias, wherein personnel management actions were used to convey an anti-age message, akin to the circumstances discussed in *Roby*. (*Id.* at p. 708-709.) For example, Plaintiff does not allege widespread favoritism of younger employees. Instead, Plaintiff alleges only discrete personnel management actions directed towards him. The Demurrer to the Third Cause of Action for Retaliation is SUSTAINED, as Plaintiff has insufficiently alleged protected activity. To establish retaliation in violation of FEHA, Plaintiff must have "engaged in 'protected activity.'" (*Wawrzenski v. United Airlines, Inc.* (2024) 106 Cal.App.5th 663, 699.) "Protected activity" includes opposing conduct made unlawful by the act. (See *Wawrzenski v. United Airlines, Inc.* (2024) 106 Cal.App.5th 663, 699; See also *Dinslage v. City and County of San Francisco* (2016) 5 Cal.App.5th 368, 382.) "[A]n employee is not required to use legal terms or buzzwords when opposing discrimination. The court will find opposing activity if the employee's comments, when read in their totality, oppose discrimination." (*Yanowitz v. L'Oreal USA, Inc.* (2005) 36 Cal.4th 1028, 1047.) However, "complaints about personal grievances or vague or conclusory remarks that fail to put an employer on notice as to what conduct it should investigate will not suffice to establish protected conduct." (*Ibid.*) Here, Plaintiff alleges he "made protected complaints including but not limited to complaints of discrimination, retaliation, and harassment, violations of the Fair Employment and Housing Act, and other state, federal and local rules and laws." (¶13(b) of Complaint.) However, this allegation is conclusory. While a demurrer admits the truth of all material facts properly pleaded, it does not admit the truth of "conclusions of fact or law." (*290 Division (EAT), LLC v. City and County of San Francisco* (2022) 86 Cal.App.5th 439, 452.) Additionally, even if the Court were to accept the general assertion that complaints were made, Plaintiff does not allege this conduct occurred *prior* to the relevant adverse employment action, such as to allow for a causal connection.

		Moreover, in contrast to the allegation in ¶13, Plaintiff proceeds to allege only that he "questioned and opposed the basis for the PIP by noting his national ranking" and "expressly opposed" the "unrealistic and punitive nature" of the Performance Improvement Plan, prior to his termination. (¶14(b) and ¶14(c) of Complaint.) At most, the Complaint alleges Plaintiff communicated his general belief that the Performance Improvement Plan was unnecessary and unfair. There are no allegations which indicate Plaintiff communicated to Defendant, that he was opposing discrimination, harassment or retaliation. The Demurrer to the Fifth Cause of Action for Negligent Hiring is SUSTAINED, as Plaintiff alleges no facts which demonstrate Defendant MDxHealth, Inc. "knew or should have known" that hiring any employe created a risk of discrimination, harassment, or retaliation. (*Phillips v. TLC Plumbing, Inc.* (2009) 172 Cal.App.4th 1133, 1139; See also CACI 426.) The Demurrer to the Seventh Cause of Action is SUSTAINED, as Plaintiff failed to sufficiently allege conduct protected by Labor Code section 1102.5. With respect to this claim, the Complaint asserts: "Plaintiff raised complaints of actual and/or potential illegality, including but not limited to complaints about violations of Labor Code section 232.5, FEHA, Government Code section 12900 *et seq.*, the California Constitution, Labor Code §200, *et seq.*, and the California Code of Regulations, while he worked for defendants…." (¶62 of Complaint.) However, once again, this allegation is conclusory. Notably absent from the pleading, are any factual allegations regarding the alleged complaints. The Demurrer to the Eighth Cause of Action is SUSTAINED, as Plaintiff has not alleged extreme and outrageous conduct, as necessary to support the claim. (*Wong v. Tai Jing* (2010) 189 Cal.App.4th 1354, 1376.) Whether allegations in a Complaint rise to the level of extreme and outrageous is a determination that can be made as a matter of law. (*Cochran v. Cochran* (1998) 65 Cal.App.4th 488, 494; See also *Trerice v. Blue Cross of California* (1989) 209 Cal.App.3d 878, 883.) Plaintiff's claim for intentional infliction of emotional distress is asserted against all Defendants and relies on the same allegations discussed previously, in connection with the claim for harassment: With respect to Defendant Brian Wiest, Plaintiff relies on allegations he "repeatedly canceled scheduled check in meetings" with Plaintiff before ultimately informing Plaintiff he was being terminated. (¶14(d) and ¶15(a) of Complaint.) With respect to Defendant Murvin, the Human Resources representative who took over the termination call, she is alleged to have "informed [Plaintiff] in a dismissive manner that he was being

		terminated," "aggressively stated that [Plaintiff] was an at will employee," and then "failed to identify any legitimate basis for the termination." (¶15(b) of Complaint.) The Court finds these allegations insufficient to rise to the level of extreme and outrageous conduct to support liability. As to Defendant MDxHealth, Inc., while Plaintiff has successfully alleged discrimination, authority indicates the same will *not* support intentional infliction of emotional distress: "Managing personnel is not outrageous conduct beyond the bounds of human decency, but rather conduct essential to the welfare and prosperity of society. A simple pleading of personnel management activity is insufficient to support a claim of intentional infliction of emotional distress, even if improper motivation is alleged. If personnel management decisions are improperly motivated, the remedy is a suit against the employer for discrimination." (*Janken v. GM Hughes Electronics* (1996) 46 Cal.App.4th 55, 80; See also *Cornell v. Berkeley Tennis Club* (2017) 18 Cal.App.5th 908, 946.) Lastly, the Court declines to rule on Defendant's demurrer to Plaintiff's request for punitive damages: "A demurrer is not the appropriate vehicle to challenge a portion of a cause of action demanding an improper remedy." (*Caliber Bodyworks, Inc. v. Superior Court* (2005) 134 Cal.App.4th 365, 384, disapproved on other grounds in *ZB, N.A. v. Superior Court of San Diego County* (2019) 8 Cal.5th 175.) "Since a demurrer does not lie to a *part* of a cause of action [citation], petitioners' punitive damage allegations were not subject to real parties' demurrers." (*Grieves v. Superior Court* (1984) 157 Cal.App.3d 159, 163.) Defendants to give notice.
51	**Mapstone vs. Karimi** **22-01269276**	**Demurrer to Amended Complaint** The demurrer to the second cause of action by Defendants Nima Karimi and Afshin Karimi is SUSTAINED with leave to amend. Defendants Nima Karimi (Nima)* and Afshin Karimi (Afshin)* demur to the second cause of action in the First Amended Complaint (FAC) on the grounds that it fails to state facts sufficient to constitute a cause of action and is uncertain. **Because Nima and Afshin share the same last name, the court refers to them by their first names; no disrespect is intended*.

Although the second cause of action is asserted only against Afshin, the Court treats the demurrer as brought jointly by both Defendants, consistent with the moving papers.

“Negligent entrustment is a common law liability doctrine, which arises in numerous factual contexts. In cases involving negligent entrustment of a vehicle, liability is imposed on [a] vehicle owner or permitter because of his own independent negligence and not the negligence of the driver. Liability for the negligence of the incompetent driver to whom an automobile is entrusted does not arise out of the relationship of the parties, but from the act of entrustment of the motor vehicle, with permission to operate the same, to one whose incompetency, inexperience, or recklessness is known or should have been known by the owner.” (*McKenna v. Beesley* (2021) 67 Cal.App.5th 552, 565 [cleaned up]; accord, *Ghezavat v. Harris* (2019) 40 Cal.App.5th 555, 559.)

The threshold issue is whether defendant had knowledge that the driver was incompetent or unfit to operate a motor vehicle. (*Dodge Ctr. v. Sup.Ct. (Anderson)* (1988) 199 Cal.App.3d 332, 341.)

To establish negligent entrustment, the plaintiff must prove all of the following: (1) That the driver was negligent in operating the vehicle; (2) That the defendant owned the vehicle operated by the driver or had possession of the vehicle operated by the driver with the owner's permission; (3) That the defendant owner knew, or should have known, that the entrusted driver was incompetent or unfit to drive the vehicle; (4) That the defendant permitted the driver to drive the vehicle; and (5) That the driver's incompetence or unfitness to drive was a substantial factor in causing harm to the plaintiff. (CACI No. 724.)

The FAC fails to adequately allege facts to support a cause of action for negligent entrustment. (FAC, ¶¶ 16-24.)

Other than Nima’s inexperience and the alleged passenger-restriction violation, the FAC fails to allege nonconclusory facts demonstrating that Nima was incompetent or unfit to drive or that Afshin knew or should have known of such incompetence or unfitness. (See *Richards v. Stanley* (1954) 43 Cal.2d 60, 63 [car owner owes no duty not to entrust car to third party in absence of facts giving owner notice that third person is “incompetent to handle it”]; *Krawitz v. Rusch* (1989) 209 Cal.App.3d 957, 966–967 [negligent entrustment requires knowledge that driver is incompetent or knowledge of circumstances indicating that fact].)

Inexperience alone, however, does not necessarily indicate incompetency. (*Krawitz v. Rusch, supra,* 209 Cal.App.3d at p. 966.) Further, although the FAC alleges that Nima violated a passenger

		restriction, it does not allege facts showing that Afshin knew of any prior violations or knew, before entrusting the vehicle, that Nima intended to transport an unauthorized passenger. Nor does the FAC allege facts showing that Nima's inexperience, incompetence, or unfitness, as opposed to ordinary driving negligence, was a substantial factor in causing the collision. Accordingly, the demurrer to the second cause of action is SUSTAINED with leave to amend. Should Plaintiff desire to file an amended complaint that addresses the issues in this ruling, Plaintiff must file and serve it within 15 days of service of notice of ruling. Moving parties to give notice.
52	**Robert Fernandez Construction Inc. vs. Scott S. Brody, as Trustee of the Bruin Trust dated December 30, 2013** **25-01512433**	**Demurrer to Cross-Complaint** Cross-Defendants Robert Fernandez Construction, Inc. and Robert Fernandez's demurrer to the Cross-Complaint is SUSTAINED with leave to amend as to the Tenth and Twelfth Causes of Action; and OVERRULED as to all remaining grounds and challenged causes of action. Cross-Defendants Robert Fernandez Construction, Inc. ("RFC") and Robert Fernandez ("Fernandez") (collectively, "Cross-Defendants") demur to the Cross-Complaint by Scott Brody, individually and as Trustee of the Bruin Trust Dated December 30, 2023 ("Scott"), and David E. Brody ("David"). **Because Cross-Complainants share the same last name, the court refers to them by their first names; no disrespect is intended.* **a. Demurrer Based on Uncertainty and Lack of Legal Capacity, and to the First Through Seventh and Ninth Causes of Action—OVERRULED** California Rules of Court, rule 3.1113(a) provides that, in the case of a demurrer, the court may treat grounds not supported by a memorandum as waived. Rule 3.1113(b) further requires the supporting memorandum to contain a statement of facts, a concise statement of the governing law and arguments relied upon, and a discussion of the supporting authorities.

Here, the demurrer identifies the asserted deficiencies concerning uncertainty, lack of legal capacity, and the First through Tenth and Twelfth Causes of Action. (Demurrer, pp. 3–5.) The supporting memorandum, however, substantively addresses only the alter ego allegations and the Eighth, Tenth, and Twelfth Causes of Action; it does not provide legal analysis or supporting authority concerning uncertainty, lack of legal capacity, or the First through Seventh and Ninth Causes of Action. (Demurrer, pp. 6–8.) The Eleventh Cause of Action is not at issue because the demurrer does not separately challenge that claim.

Accordingly, the Court exercises its discretion under rule 3.1113(a) and (b) to deem these grounds waived and declines to consider them.

b. Alter Ego Allegations Against Fernandez – OVERRULED

Cross-Defendants contend that all causes of action against Robert Fernandez individually fail because the Cross-Complaint does not adequately plead an alter ego theory of liability.

Detailed pleading is not required to allege an alter ego theory of liability. Indeed, "[i]t is not even essential, apparently, that . . . the alter ego doctrine always be specifically pleaded in the complaint in order for it to be applied in appropriate circumstances. [¶] . . . [Citation.] . . . [C]ourts have followed a liberal policy of applying the alter ego doctrine where the equities and justice of the situation appear to call for it rather than restricting it to the technical niceties depending upon pleading and procedure. It is essential principally that a showing be made that both requirements, i.e., unity of interest and ownership, and the promotion of injustice by the fiction of corporate separate existence, exist in a given situation." (*First Western Bank & Trust Co. v. Bookasta* (1968) 267 Cal.App.2d 910, 915, italics omitted; see *Rutherford Holdings, LLC v. Plaza Del Rey* (2014) 223 Cal.App.4th 221, 236 ["only 'ultimate rather than evidentiary facts'" necessary to support alter ego theory].)

The Cross-Complaint alleges that Fernandez was RFC's responsible managing officer, chief executive officer, and president. (Cross-Complaint, ¶ 4.) It further alleges that Fernandez failed to observe corporate formalities, disregarded the distinction between himself and RFC, operated RFC as a shell and conduit for his personal affairs, and shared a unity of interest and ownership with RFC such that respecting the corporate form would sanction fraud or promote injustice. (Id., ¶ 5.) These allegations state the ultimate facts necessary to support an alter ego theory and provide Fernandez with sufficient notice of the basis on which personal liability is sought.

Accordingly, the demurrer on this ground is overruled.

c. Eighth Cause of Action for Disgorgement Under Business and Professions Code Section 7031 – OVERRULED

Under Business and Professions Code section 7031, subdivision (b), "a person who utilizes the services of an unlicensed contractor may bring an action . . . to recover all compensation paid to the unlicensed contractor for performance of any act or contract." The statute generally requires an unlicensed contractor to disgorge all compensation paid by the project owner. Disgorgement is permitted even when the project owner knows that the contractor is unlicensed, the contractor is unlicensed during only part of the work, or the work performed by the unlicensed contractor is free of defects. (*Judicial Council of California v. Jacobs Facilities, Inc*. (2015) 239 Cal.App.4th 882, 895, 897.)

The Cross-Complaint alleges that RFC, a California corporation operating under California Contractors State License Board license number 677390, was hired to perform home-improvement work. (Cross-Complaint, ¶ 2.) It further alleges, on information and belief, that Cross-Defendants were not duly licensed or bonded, failed to maintain required workers' compensation insurance, and may have committed additional licensing violations. (Id., ¶¶ 68–71.)

These allegations are sufficient to state a cause of action for disgorgement under section 7031. The existence of a contractor's license number does not establish that RFC was duly licensed throughout its performance of the work. The Court must accept these allegations as true at the pleading stage.
Accordingly, the demurrer is overruled.

d. Tenth Cause of Action for Expungement of Mechanic's Lien Civil Code § 3118– SUSTAINED

Cross-Defendants contend that the Tenth Cause of Action fails because it seeks to expunge the mechanic's lien under former Civil Code section 3118, which was repealed effective July 1, 2012.

Although citation to former Civil Code section 3118 is not necessarily fatal, the Cross-Complaint does not adequately identify a current statutory basis for invalidating or releasing the lien or allege facts satisfying the requirements of such a statute. " ' "Mechanics' liens are entirely of statutory creation, and the statute must be looked to both for the right to the lien and the mode by which it can be enforced. The right to a mechanic's lien depends upon a compliance with the statute, and in order that a valid lien may arise and be enforced, the claimant must strictly, or at least substantially, observe and comply with the provisions of the statute, none of which may be regarded as unessential." ' [Citation.]" (*Sukut Construction, Inc. v. Rimrock CA LLC* (2011) 199 Cal.App.4th 817, 824.)

Accordingly, the demurrer to the Tenth Cause of Action is sustained with leave to amend.

e. Twelfth Cause of Action for Financial Elder Abuse – SUSTAINED

"The Legislature enacted the [Elder Abuse and Dependent Adult Civil Protection Act (Welf. & Inst. Code, § 15600 et seq.)] to protect elders by providing enhanced remedies to encourage private civil enforcement of laws against elder abuse and neglect. [Citation.] . . . [Citation.] The proscribed conduct includes financial abuse. The financial abuse provisions are, in part, premised on the Legislature's belief that in addition to being subject to the general rules of contract, financial agreements entered into by elders should be subject to special scrutiny." (*Bounds v. Superior Court* (2014) 229 Cal.App.4th 468, 478.) The elements of financial elder abuse are: (1) "[t]ak[ing], secret[ing], appropriat[ing], obtain[ing], or retain[ing];" or "[a]ssist[ing] in taking, secreting, appropriating, obtaining, or retaining;" (2) "real or personal property;" (3) "of an elder or dependent adult;" and (4) "for a wrongful use or with intent to defraud, or both." (Welf. & Inst. Code, § 15610.30, subd. (a)(1)–(3).)

The Cross-Complaint alleges that David is 94 years old and resides at the property under a rental agreement; that Cross-Defendants knew the property was being renovated for his benefit; and that they retained payments for the project with intent to defraud while failing to provide the promised labor and materials in a workmanlike manner. (Cross-Complaint, ¶¶ 91–95.)
The Cross-Complaint fails to sufficiently allege the taking or retention of property belonging to David. The payments allegedly retained belonged to Scott or the Bruin Trust, not David. Although an elder's property may include a leasehold or other right to possess and use property, the Cross-Complaint does not allege that David was displaced, denied occupancy, prevented from using the property, or otherwise deprived of a specific right under his rental agreement. Allegations that Cross-Defendants knew an elder resided at the property and that defective work caused him harm do not, without more, establish financial elder abuse.

Accordingly, the demurrer to the Twelfth Cause of Action is sustained with leave to amend.

Should Cross-Complainants desire to file an amended complaint that addresses the issues in this ruling, Cross-Complainants must file and serve it within 15 days of service of notice of ruling.

Moving parties to give notice.

53	**Duran vs. Starbucks Corporation** **25-01495343**	**Motion to Strike Portions Of Complaint** Defendant Starbucks Corporation's motion to strike is DENIED. Defendant Starbucks Corporation (Starbucks) moves to strike the punitive-damages allegations and prayer in the First Amended Complaint (FAC) filed by Plaintiffs Cesar Duran (Cesar) and Monica Duran (Monica). ** Because Plaintiffs share the same last name, the court refers to them by their first names. No disrespect is intended.* A motion to strike is the proper vehicle to challenge a claim for punitive damages. (Code Civ. Proc., §§ 435-436; *Turman v. Turning Point of Central California, Inc*. (2010) 191 Cal.App.4th 53, 63.) "In order to state a prima facie claim for punitive damages, a complaint must set forth the elements as stated in the general punitive damage statute, Civil Code section 3294. [Citation.] These statutory elements include allegations that the defendant has been guilty of oppression, fraud or malice. (Civ. Code, § 3294, subd. (a).)" (*Turman v. Turning Point of Central California, Inc., supra,* 191 Cal.App.4th at p. 63.) Civil Code section 3294 establishes the requirements for imposing punitive damages on an employer or principal based on the acts of an employee or agent. In addition to showing that the employee acted within the scope of employment, the plaintiff must allege and prove that: (1) the employer had advance knowledge of the employee's unfitness and employed the employee with conscious disregard for the rights or safety of others; (2) the employer authorized or ratified the employee's oppressive, fraudulent, or malicious conduct; or (3) the employer was personally guilty of oppression, fraud, or malice. (Civ. Code, § 3294, subd. (b); CACI Nos. 3943–3948; *Samantha B. v. Aurora Vista Del Mar, LLC* (2022) 77 Cal.App.5th 85, 106; *CRST, Inc. v. Superior Court* (2017) 11 Cal.App.5th 1255, 1262.) The FAC alleges sufficient facts to support Plaintiffs' request for punitive damages. Read as a whole and accepted as true, the FAC supports a reasonable inference that Starbucks knew of recurring lid failures and serious burn risks but failed to redesign its lids, lower its serving temperature, or adequately warn customers. (FAC ¶¶ 15–20, 34, 50.) The alleged company-wide serving-temperature policy, repeated complaints, and notice of similar incidents also reasonably support an inference, at the pleading stage, that the challenged conduct reflected corporate policy established, maintained, or ratified by a Starbucks officer, director, or managing agent. (FAC ¶¶ 17–20, 35, 51.) Accordingly, the motion to strike is DENIED. Defendant shall file and serve its answer within 15 days of service of notice of this ruling. Plaintiffs to give notice.

54	**El vs. Hyundai Motor America** **25-01471426**	**1. Demurrer to Amended Complaint** **2. Motion to Strike Portions Of Complaint** The Demurrer to the First Amended Complaint brought by Defendant Hyundai Motor America is OVERRULED, in whole. Defendant's unopposed Request for Judicial Notice is GRANTED, pursuant to Evidence Code section 452, subdivision (h). Initially, Defendant challenges the First through Third Causes of Action, solely on the basis the same are barred by the six-year statute of limitations provided in Code of Civil Procedure section 871.21. (Demurrer: 5:22-7:8 [ROA No. 86].) Defendant challenges the Fourth Cause of Action, on the same basis. (*Ibid.*) Pursuant to Code of Civil Procedure section 871.21, subdivision (b), "an action covered by Section 871.20 shall not be brought later than six years after the date of original delivery of the motor vehicle." (Code Civ. Proc., § 871.21, subd. (b).) Although disputed by Plaintiff, all four of Plaintiff's Song-Beverly claims are encompassed within Code of Civil Procedure section 871.20, as this provision expressly references claims brought pursuant to Civil Code section 1794, as well as requests for civil penalties thereunder. (Code Civ. Proc., § 871.20, subd. (a).) While the Third Cause of Action alleges Plaintiff was injured by Defendant's violation of Civil Code section 1793.2, subdivision (a)(3), Plaintiff nonetheless indicates he "brings this Cause of Action pursuant to Civil Code section 1794." (¶63 of FAC [ROA No. 64].) This is sufficient to bring the claim within Code of Civil Procedure section 871.20. (See *Soro v. FCA US, LLC* (S.D. Cal. 2026) 2026 WL 473050, at p. 4.) Here, it is undisputed that Plaintiff purchased his vehicle on August 22, 2017. (¶6 of FAC [ROA No. 64].) Additionally, a review of the record confirms that Plaintiff initiated this action more than 6 years later, on March 28, 2025. (See ROA No. 2.) Nonetheless, Plaintiff persuasively asserts that application of Code of Civil Procedure section 871.21 within this action, would be improperly retroactive. "Generally, statutes operate prospectively only." (*McClung v. Employment Development Dept.* (2004) 34 Cal.4th 467, 475.) "[A] statute may be applied retroactively only if it contains express language of retroactivity *or* if other sources provide a clear and unavoidable implication that the Legislature intended retroactive application." (*Ibid.*)

The sole authority to address the retroactivity of Code of Civil Procedure section 871.21, found similar facts necessitated a retroactive application: "Defendant's argument would *necessarily* involve a retroactive application of Section 871.21 because it would use a statute effective on January 1, 2025 to dismiss claims after June 2024." (*Galdamez v. FCA US LLC* (C.D. Cal. 2026) --- F.Supp.3d ---- (2026 WL 1047004), at p. 3.) Thereafter, the Court explained: "Defendant does not point to any legislative history indicating that Section 871.21 was intended to apply retroactively, and the Court has been unable independently to find any such intent. In light of the strong presumption against retroactive application, the argument fails." (*Ibid.*)

Additionally, even assuming retroactive intent, retroactive application has constitutional implications and "must pass constitutional muster." (*In re Marriage of Lackenmyer* (1985) 174 Cal.App.3d 558, 561 and *McClung v. Employment Development Dept.* (2004) 34 Cal.4th 467, 476 ["Retroactive application would also raise constitutional implications."])

"It is well established that the Legislature may reduce the period within which an action may be commenced, since a statute of limitations affects the remedy only and does not impair the cause of action itself." (*Niagara Fire Ins. Co. v. Cole* (1965) 235 Cal.App.2d 40, 43.) "However, a statute shortening the period of limitations cannot be applied retroactively to wipe out an accrued cause of action that is not barred by the then applicable statute of limitations." (*Ibid.*) "To avoid the unconstitutional effect of retroactive application, a statute must be applied prospectively to such causes of action." (*Ibid*.) "Even when applied prospectively, the claimant must be allowed a reasonable time within which to proceed with his cause of action." (*Ibid.*)

"If the statute operates immediately to cut off the existing remedy, or within so short a time as to give the party no reasonable opportunity to exercise his remedy, then the retroactive application of it is unconstitutional as to such a party." (*Rosefield Packing Co. v. Superior Court* (1935) 4 Cal.2d 120, 122-123.)

"[T]he court must inquire whether, in a given case, that retrospective application may violate due process by in effect eliminating the plaintiff's right. If the time left to file suit is reasonable, no such constitutional violation occurs, and the statute is applied as enacted. If no time is left, or only an unreasonably short time remains, then the statute cannot be applied at all." (*Aronson v. Sup. Ct.* (1987) 191 Cal.App.3d 294, 297.)

Applying the above principles herein, regardless of whether legislative intent for retroactive application exists, application of Code of Civil Procedure section 871.21 herein is unconstitutional and impermissibly retroactive: As noted above, Plaintiff purchased his vehicle on August 22, 2017 (¶6 of FAC [ROA No. 64]), such that, pursuant to Code of Civil Procedure section 871.21, the statute of limitations ran on August 22, 2023. Consequently, when Code of Civil Procedure section 871.21 took effect on January 1, 2025, the effect of the provision was to *immediately* render Plaintiff's claims 1.5 years too late.

Based on the above, Code of Civil Procedure section 871.21 does *not* apply to bar Plaintiff's claims and, consequently, the Court need not examine whether equitable tolling can be applied to this statute.

As Code of Civil Procedure section 871.21 was the *sole* basis of Defendant's Demurrer to the First through Third Causes of Action, this portion of the Demurrer is OVERRULED.

While Defendant's Reply attempts to invoke additional statutes of limitations, not referenced within the Demurrer, "[i]t is elementary that points raised for the first time in a reply brief are not considered by the court." (*Magic Kitchen LLC v. Good Things Intern. Ltd.* (2007) 153 Cal.App.4th 1144, 1161.)

In addition to the above, Defendant independently challenges the Fourth Cause of Action, on the basis it is barred by a 4-year statute of limitations.

"The statute of limitations for breaches of the implied warranty of merchantability is four years." (*Montoya v. Ford Motor Co.* (2020) 46 Cal.App.5th 493, 494.) Relying on *Cardinal Health 301, Inc. v. Tyco Electronics Corp.* (2008) 169 Cal.App.4th 116, Defendant asserts that implied warranties do *not* extend to future performance and, consequently, delayed discovery does not apply to these claims. (*Id.* at p. 134.) However, in contrast to *Cardinal*, the Court in *Mexia v. Rinker Boat Co., Inc.* (2009) 174 Cal.App.4th 1297 expressly analyzed a claim brought pursuant to the Song-Beverly Act and held "[t]he implied warranty of merchantability may be breached by a latent defect undiscoverable at the time of sale." (*Id.* at p. 1304.) "Thus, although a defect may not be discovered for months or years after a sale, merchantability is evaluated as if the defect were known." (*Id.* at p. 1305.) Per *Mexia*, which specifically examined the standard applicable to Song-Beverly claims, the implied warranty has a "limited prospective existence beyond the date of delivery." (*Id.* at 1311.)

Based on the above, delayed discovery applies to Plaintiff's Fourth Cause of Action. (See also Com. Code, § 2725, subd. (2).)

Relying on *Cardinal* and the assertion that delayed discovery does *not* apply to claims for breach of the implied covenant, Defendant did not dispute the adequacy of Plaintiff's discovery allegations. (See Demurrer: 7:9-9:2 [ROA No. 86]; See also Demurrer: 4:19-22 [ROA No. 86].) While

		Defendant challenges the sufficiency of Plaintiff's delayed discovery allegations within the Reply, once again, "[i]t is elementary that points raised for the first time in a reply brief are not considered by the court." (*Magic Kitchen LLC v. Good Things Intern. Ltd.* (2007) 153 Cal.App.4th 1144, 1161.) Based on the above, the Demurrer to the Fourth Cause of Action is OVERRULED. Lastly, the Demurrer to the Fifth Cause of Action is OVERRULED, as Plaintiff sufficiently alleges concealment. The Complaint identifies the concealed defect as a defect in the 1.6L engine which results in a loss of power, stalling, "engine running rough," engine failure and engine misfires. (¶72 of FAC [ROA No. 64].) Thereafter, the Complaint alleges Defendant knew the defect existed, knew it was material, but nonetheless concealed the defect from Plaintiff, despite knowing Plaintiff could not easily discover the defect himself. (See ¶76, ¶78, ¶81, ¶87, ¶88 and ¶90 of FAC.) Similarly, the Complaint alleges Defendant's knowledge of the defect was exclusive (¶81-¶84 of FAC), sufficient to invoke a duty to disclose. (*Bigler-Engler v. Breg, Inc.* (2017) 7 Cal.App.5th 276, 311.) Defendant does not articulate what additional information is lacking; however, regardless, "less specificity is required if the defendant would likely have greater knowledge of the facts than the plaintiff." (*City of Industry v. City of Fillmore* (2011) 198 Cal.App.4th 191, 211.) Defendant asserts Plaintiff failed to allege "actual or justifiable reliance" (Demurrer: 13:19-14:4 [ROA No. 86]), however, a claim for concealment requires that "the plaintiff must have been unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact." (*Boschma v. Home Loan Center, Inc.* (2011) 198 Cal.App.4th 230, 248.) Here, the Complaint sufficiently alleges that "[h]ad Plaintiff known that the Subject Vehicle was equipped with a defective engine, Plaintiff would not have purchased the Subject Vehicle." (¶85 of FAC [ROA No. 64].) Finally, fraudulent inducement claims, as alleged herein, fall within an exception to the economic loss rule. (See *Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828, 838-839, 843.) Based on all the above, the Demurrer brought by Defendant Hyundai Motor America is OVERRULED, in whole. Defendant shall file its Answer within 10 days.

		The Motion to Strike brought by Defendant Hyundai Motor America is DENIED, in whole. Initially, Defendant seeks to strike the request for relief under Civil Code section 1794, subdivision (d), arguing this request “fails to the extent Plaintiff’s express and implied warranty claims regarding obligations under California Civil Code Division 3, Part 4, Title 1.7, Chapter 1 fail.” (Motion: 7:21-24 [ROA No. 82].) Given Plaintiff’s First through Fourth Causes of Action survived demurrer, this portion of the motion fails. Similarly, given Plaintiff has adequately alleged fraud, the request to strike Plaintiff’s request for punitive damages fails. (See Civ. Code, § 3294, subd. (c)(3).)
56	**Xia vs. Placentia Yorba Linda Unified School District** **24-01403405**	**Motion for Clarification** Plaintiffs Ye Ying Stella Xia and Aretha Li’s motion to clarify whether the court’s March 6, 2025 and December 19, 2025 Orders operate to stay the demurrer and motion to strike filed by Defendants Placentia Yorba Linda Unified School District, Shawn Youngblood, Carrie Buck, Marilyn Anderson, and Karin Freeman is DENIED as MOOT. The demurrer and motion to strike for which Plaintiffs seek clarification came on for hearing on May 8, 2026. (ROA 312.) The court sustained the demurrer and granted in part and denied in part the motion to strike. (*Id*.) Plaintiff filed a Second Amended Complaint on June 22, 2026. (ROA 345.) Defendants Placentia Yorba Linda Unified School District, Shawn Youngblood, Carrie Buck, Marilyn Anderson, and Karin Freeman to give notice.
57	**THE LAB, LLC vs. STRATHMORE CUSTOM HOMES, INC**	**Motion to Tax Costs** Plaintiffs The LAB, LLC and HSB Investments and Consulting, LLC move to strike or tax from Defendant Cenk Acar’s Memorandum of Costs is GRANTED in part and DENIED in part.

	20-01128098	Preliminarily, Defendant concedes, in his Opposition, that the following items should be stricken from the Memorandum of Cost: Item 57: Duplicative Jacobson invoice entry \$16,418.85 Item 64: Jacobson trial prop/review encompassed within Item 80 \$4,060.00 Items 7, 12, 43, 44, 45, 47, 53, 54, 55, 60, 62, 63, 66, 69, 70, 72, and 73 for court parking charges and mileage for \$174.00. According to Defendant these items total \$20,616.85 A prevailing party is usually entitled as a matter of right to recover costs in any action or proceeding. (Civ. Proc. Code § 1032, subd. (b).) If the items on a verified memorandum of costs appear to be proper charges, the memorandum is prima facie evidence of their propriety and the burden is on the party contesting them to show that they were not reasonable or necessary. (*Foothill-De Anza Comm. College Dist. v. Emerich* (2007) 158 Cal.App.4th 11, 29; *Wagner Farms, Inc. v. Modesto Irrigation Dist.* (2006) 145 Cal.App.4th 765, 773-74.) The party challenging costs does not meet this burden by arguing that the costs were not necessary or reasonable, but must present evidence and prove that the costs are not recoverable. (*Seever v. Copley Press, Inc.* (2006) 141 Cal.App.4th 1550, 1557; *see also Wagner Farms*, 145 Cal.App.4th at 777-78.) If the claimed items are not expressly allowed by statute and are objected to by a motion to strike or tax costs, the burden of proof is on the party claiming them as costs to show that the charges were reasonable and necessary. (*Foothill-De Anza Comm. College Dist.*, 158 Cal.App.4th at 29.) Whether a cost item was reasonably necessary to the litigation is a question of fact for the court to determine. (*Id.* at 29-30.) Judgment was entered in favor of Defendant Cenk Acar and against Plaintiffs The Lab, LLC and HSB Investments & Consulting, LLC on all causes of action. (See ROA 448 [Judgment].) Plaintiffs shall take nothing by way of their complaint. (*Id*.) Defendant is the prevailing party. Code of Civil Procedure section 998 serves " 'to encourage the settlement of lawsuits prior to trial.' [Citation.]" (*Westamerica Bank v. MBG Industries, Inc.* (2007) 158 Cal.App.4th 109, 129, 70 Cal.Rptr.3d 125.) It does so "by 'establish[ing] a procedure for shifting the costs upon a party's refusal to settle.' [Citation.]" (*Finlan v. Chase* (2021) 68 Cal.App.5th 934, 940, 283 Cal.Rptr.3d 915.) Section 998, subdivision (c)(1) provides that "[i]f If an offer made by a defendant is not accepted and the plaintiff fails to obtain a more favorable judgment or award, the plaintiff shall not recover their postoffer costs and shall pay the defendant's costs from the time of the offer. In addition, in any action or proceeding other than an eminent domain action, the court or arbitrator, in its discretion, may require the plaintiff to pay a reasonable sum to cover postoffer costs of the services of expert witnesses, who are

not regular employees of any party, actually incurred and reasonably necessary in either, or both, preparation for trial or arbitration, or during trial or arbitration, of the case by the defendant."

On October 11, 2021, Defendant's counsel served two Code of Civil Procedure section 998 offers ("Section 998 Offers") on Plaintiffs' counsel. (Fairchild Decl. ¶ 3, Exhs. A and B [ROA 464].) Through Defendant's Section 998 Offers, Defendant offered each Plaintiff to have judgment entered against Defendant in favor of Plaintiff in the amount of $25,000.00 in full settlement of all of Plaintiff's claims raised in the complaint against Defendant. (*Id*.) Each party would bear their own costs. (*Id*.) Defendant received no response from either Plaintiff. (Fairchild Decl. ¶ 3.) Because Plaintiffs did not accept the Section 998 Offers, Defendant was not required to file the offers. (See Code Civ. Proc., § 998, subd. (b).) It is undisputed that Defendant is the prevailing party under the Judgment. It is also undisputed that Defendant sent valid Section 998 Offers to Plaintiffs.

In his initial expert designation, Defendant identified only Guy C. Alexander III as a non-retained expert and reserved the right to supplement the designation. (Fairchild Decl. ¶4, Exh. C.) Defendant received Plaintiffs' initial expert designation on April 7, 2025, in which Plaintiffs likewise designated Alexander as a non-retained expert and also identified three retained experts: Corbet Lancaster, C.P.A., C.V.A., Matthew J. Salcedo, Esq., and Reeza Gervacio. (*Id*. at ¶ 5, Exh. D.) Defendant's counsel concluded that the breadth of Plaintiffs' experts' opinions required qualified expert rebuttal. (Id. at ¶¶ 6-7.) Defendant retained Lawrence H. Jacobson to address and rebut Plaintiffs' experts' valuation opinions and their asserted real estate "standard of care" theories, and John E. Alstadt as Defendant's damages expert to evaluate, rebut, and respond to Plaintiffs' experts' opinions. (*Id*. at ¶¶ 7-8.) Jacobson and Alstadt were identified in Defendant's supplemental expert designation, served on April 28, 2025, and were retained after Plaintiffs rejected Defendant's Section 998 Offers. (*Id*. at ¶¶8-9.)

In its discretion, the Court rules that Plaintiffs shall pay Defendant's reasonable postoffer expert witness costs.

<u>Duplicative Costs</u>

Plaintiffs assert that Items No. 30 and 31 relate to Jacobson's deposition and are duplicative of fees that were already paid. Item No. 30, however, clearly relates to Lancaster, not Jacobson. Furthermore, as Item 31's note provides and as pointed out by Defendant in Opposition, Plaintiffs' counsel paid $975 of original $1,300; thus, the difference of $325 was sought. Plaintiffs have failed to show any duplication. This request to strike is denied.

		Plaintiffs assert that Item Nos. 25 & 26 and Item Nos. 56 & 58 are excessive, duplicative, and unreasonable and should therefore be stricken. "If items on their face appear to be proper charges, the verified memorandum of costs is prima facie evidence of their propriety, and the burden is on the party seeking to tax costs to show they were not reasonable or necessary." (*Jones v. Dumrichob* (1998) 63 Cal. App.4th 1258, 1266.) Once the opposing party makes such a showing the challenged items are put in issue and the burden shifts back to the party claiming them as costs. (*Ibid*.) But conclusory assertions alone are not enough to cause this shift to happen. "[I]t is not enough for the losing party to attack submitted costs by arguing that he thinks the costs were not necessary or reasonable. Rather, the losing party has the burden to present evidence and prove that the claimed costs are not recoverable." (*Seever v. Copley Press, Inc*. (2006) 141 Cal.App.4th 1550, 1557.) Here, Plaintiffs do nothing more than state these costs were duplicative and unreasonable. In any event, these Items show services performed on four different dates and Defendant presents evidence that Alexander (Plaintiffs' non-retained expert) was difficult to serve, requiring multiple attempts. Furthermore, costs incurred to effect service, including, stakeout costs are permitted under Code of Civ. Proc. § 1033.5(a)(4)(B), unless successfully challenged. Plaintiffs have failed to meet their burden, and the motion is denied as to these fees. <u>Photocopying Costs</u> Plaintiffs next challenge Item Nos. 19 ($131.50) & 67 ($220.50) for what they contend are photocopying charges, which are not recoverable under Code of Civil Procedure section 1033.5(b). Defendant submits those items are better understood as subpoena, records, and deposition-officer charges incurred to obtain records for this case, not ordinary photocopying. The fees are permitted as being reasonably necessary to the conduct of the litigation and the motion is denied as to these fees. <u>Binder Delivery Costs</u> Plaintiff challenges Item No. 38 for Binder Delivery and argues that it is not a cost necessarily incurred to the conduct of litigation. The $44.96 delivery charge was incurred for the delivery of trial binders to the Court. Trial binders were required by the court's trial procedures and were part of the parties' trial preparation and presentation. The motion to strike or tax these fees is denied.

Altstadt Expert Costs

Plaintiff challenges Betty Altstadt's time billed ($750) and requests a 75 percent reduction in the $14,155 fee incurred. (Item Nos. 22 & 50.) In Opposition, Defendant contends he hired Altstadt Consulting, Inc. and the firm is run by John and Betty Altstadt, both of whom have accounting expertise. Technically, Defendant retained John Altstadt as an expert, not Altstadt Consulting, Inc. pursuant to the supplemental expert designation attached to Fairchild's Declaration as Ex. E. Nevertheless, Plaintiffs fail to show that the work performed by Betty Altstadt was unreasonable or unnecessary. Furthermore, the cost is allowed under Code of Civ. Proc. § 1033.5(c)(4) "Items not mentioned in this section and items assessed upon application may be allowed or denied in the court's discretion."

With regard to John Altstadt's fees, as noted by Defendant, Plaintiffs' attack on Altstadt Consulting is not evidence-based, is speculative, and arbitrarily seeks a 75% reduction of his fees. Plaintiffs do not challenge John Alstadt's hourly rate nor is there evidence that his time or rates were unreasonable. Moreover, the fact that John Alstadt did not testify at trial is not grounds to reduce or exclude his fees. John Alstadt's services were reasonably necessary to the conduct of litigation. The Code of Civil Procedure does not limit the recovery of expert fees to only those who testified at trial. (See, Code of Civ. Proc. §§ 998, 1032, 1033 & 1033.5.) Plaintiffs' request to strike these fees is denied.

Jacobson Expert Costs

Plaintiffs also challenge Jacobson's fee of $16,418.85 (Item No. 49). Plaintiffs assert his time entries are duplicative and repetitive for the same tasks, including, "review file," "Legal analysis re: opinions," "prepare for deposition." Plaintiffs argue that 10.3 hrs spent preparing for a 2 hour deposition was excessive. Similar duplicative billing occurs for "review Gervacio file document production" (1.7 hours); "monitor[deposition of Reeza Gervacio" (3.6 hours); and again "review Reeza Gervacio deposition" (2.9 hours). Moreover, Defendant seeks $1,100 in costs for Jacobson's May 28, 2025 deposition, which are also separately listed in Item Nos. 30 & 31. Jacobson's invoice for Reprographics" and "Photocopy Charges" in the total amount of $ 90.29 is also unrecoverable, as addressed under "Duplicative Costs". As such, Item No. 49 should be reduced to $10,372.31. Thus, Plaintiffs conclude that Mr. Jacobson's fees should also be reduced by 75%.

Defendant contends that Plaintiffs pointing to repeated descriptions such as 'review file,' 'legal analysis,' and 'prepare for deposition,' do not prove duplicative work, only repeated work descriptions. Expert review occurred over multiple days, in response to multiple expert files, depositions, and moving targets in expert discovery.

		Again, Plaintiffs submit no competent declaration explaining what time was unnecessary, no expert testimony that the hours were unreasonable, and no rate challenge. Their requested 75 percent cut is, again, arbitrary. Based on the record before the court, the court cannot say that the work performed by Jacobson was unreasonable or unnecessary. The motion is denied as to these fees. Based on this analysis, Defendant is entitled to costs in the sum of $94,614.29 which reflects a reduction of $20,616.85 conceded by Defendant in the Opposition. Defendant to give notice.
58	**Blue Bridge Financial, Inc. vs. Bare Bunny, LLC** **24-01371055**	**Motion for Attorney Fees** The Motion for Attorneys' Fees brought by Plaintiff Blue Bridge Financial, Inc. (fka Blue Bridge Financial, LLC) is GRANTED, in part. The Judgment entered on April 28, 2025, as to Defendant Bare Bunny, LLC, shall be amended to include costs in the amount of $2,175.00 and reasonable attorneys' fees in the amount of $15,582.00. On March 14, 2025, the Court granted summary adjudication in favor of Plaintiff, finding Defendant Bare Bunny, LLC breached an Equipment Finance Agreement. (ROA No. 111.) On April 28, 2025, judgment was entered in favor of Plaintiff and against Defendant Bare Bunny, LLC, consistent with the above. (ROA No. 123.) Per the Equipment Financing Agreement, "Borrower promises to pay all reasonable costs and expenses, including, without limitation, reasonable attorneys' fees, collection costs plus additional expenses, incurred by Lender in the enforcement of this Agreement." (¶8 of Scott Declaration and Exhibit 1 thereto, at §9 [ROA No. 161].) As the attorneys' fees incurred within this collection action qualify as fees sought "in the enforcement of this Agreement," Plaintiff is entitled to recover its *reasonable* fees incurred herein. (See Code Civ. Proc., § 1033.5, subd. (a)(10)(A) and Civ. Code, § 1717, subd. (a); See also *Dewberry & Davis, Inc. v. C3NS, Inc.* (2012) 284 Va. 485, 495.) Following a careful review of the billing submitted with this motion, the Court determines the reasonable amount of fees incurred herein is $15,582.00.

		Of note, Defendant Rebecca Elizabeth Pate-Piercy obtained a Chapter 7 bankruptcy discharge on December 15, 2025. (¶2 of Scott Declaration and Exhibit 1 thereto [ROA No. 186].) It is undisputed that Plaintiff's judgment against Defendant Rebecca Elizabeth Pate was included within the discharge order, such that "additional fees should not be imposed against her…" (Supplemental Brief: 2:19-20 [ROA No. 184].) Consequently, the above order is limited to Defendant Bare Bunny, LLC.
59	**Emtiaz vs. BMW of North America, LLC** **25-01469682**	**Motion for Judgment on the Pleadings** Defendants BMW of North America, LLC ("BMW NA") and Sterling Motors, Ltd. d/b/a Sterling BMW ("Sterling BMW") motion for judgment on the pleadings is DENIED as to the first cause of action and GRANTED as to the second and third causes of action. Defendants' unopposed request for judicial notice is granted. Should Plaintiffs wish to file an amended complaint that addresses the second cause of action as discussed in this ruling, Plaintiffs must file and serve it within 15 days of service of notice of ruling. Leave to amend the third cause of action is denied. A defendant may move for judgment on the pleadings where the court has no jurisdiction of the subject of the cause of action alleged in the complaint or the complaint does not state facts sufficient to constitute a cause of action against that defendant. (Code Civ. Proc, § 438 subd. (c)(1)(B).) A non-statutory motion for judgment on the pleadings may be made any time before or during trial. (*Stoops v. Abbassi* (2002) 100 Cal.App.4th 644, 650.) "Such motion may be made on the same ground as those supporting a general demurrer, *i.e.,* that the pleading at issue fails to state facts sufficient to constitute a legally cognizable claim or defense." (*Id*.) The standard for ruling on a motion for judgment on the pleadings is essentially the same as that applicable to a general demurrer, that is, under the state of the pleadings, together with matters that may be judicially noticed, it appears that a party is entitled to judgment as a matter of law. (*Bezirdjian v. O'Reilly* (2010) 183 Cal.App.4th 316, 321-322, citing *Schabarum v. California Legislature* (1998) 60 Cal.App.4th 1205, 1216.)

First Cause of Action for Violation of Song-Beverly Consumer Warranty Act – Breach of Express Warranty

Civil Code section 1793.2, subdivision (d) states, “Except as provided in paragraph (2), if the manufacturer or its representative in this state does not service or repair the goods to conform to the applicable express warranties after a reasonable number of attempts, the manufacturer shall either replace the goods or reimburse the buyer in an amount equal to the purchase price paid by the buyer, less that amount directly attributable to use by the buyer prior to the discovery of the nonconformity.” “Generally, ‘[w]he[n] a party relies for recovery upon a purely statutory liability it is indispensable that he plead facts demonstrating his right to recover under the statute. The Complaint must plead every fact which is essential to the cause of action under the statute.” (*Baskin v. Hughes Realty, Inc*. (2018) 25 Cal.App.5th 184, 207.)

The Complaint alleges that Plaintiffs are the beneficiary of a transferable express warranty attached to the Subject Vehicle by BMW NA, by which BMW NA undertook to preserve or maintain the utility or performance of the Subject Vehicle or provide compensation if there was a failure in such utility or performance during the warranty period. (Compl. ¶ 11.) On or about August 30, 2024, and continuing throughout the warranty period, Plaintiffs brought the Subject Vehicle to authorized BMW NA repair facilities on at least three occasions complaining about problems with the Subject Vehicle’s HVAC System. (*Id*. at ¶ 15.) Specifically, the HVAC would not blow cold air. (*Id*.) This resulted in a safety hazard because Plaintiffs are residents of Orange County, California. (*Id*.) At least two components of the HVAC have been removed and replaced at the time of the Complaint’s filing. (*Id*.) The repair attempts did not resolve the issues complained about, and the issues with the HVAC system continue to cause impairments to the use, value, and safety of the Subject Vehicle. (*Id*. at ¶¶ 19, 21.) BMW NA rejected Plaintiff’s request for repurchase under the Song-Beverly Consumer Warranty Act. (*Id*. at ¶ 20.)

Although the allegations are not particularly artful, Plaintiffs have alleged the existence of an express warranty, that BMW NA failed to repair the vehicle after three repair attempts, and that BMW NA rejected Plaintiff’s repurchase request. Defendants’ factual arguments may be raised at later stages of the litigation. These allegations are sufficient at this pleading stage. The motion for judgment on the pleadings is denied as to the first cause of action.

		<u>Second Cause of Action Violation of Song-Beverly Consumer Warranty Act – Breach of Implied Warranty</u> *Implied Warranty & Merchantability* Under California Civil Code § 1792, “every sale of consumer goods that are sold at retail in this state shall be accompanied by the manufacturer’s and the retail seller’s implied warranty that the goods are merchantable.” (Civ. Code, § 1792.) This imposes certain guarantees about the fitness and use of the goods. “Retail seller,” for the purposes of this statute, is defined as “any individual, partnership, corporation, association, or other legal relationship that engages in the business of selling or leasing consumer goods to retail buyers.” (Civ. Code, § 1791.) “Manufacturer” means “any individual, partnership, corporation, association, or other legal relationship that manufactures, assembles, or produces consumer goods.” (*Id.*) In contrast, a “distributor” is defined as “any individual, partnership, corporation, association, or other legal relationship that stands between the manufacturer and the retail seller in purchases, consignments, or contracts for sale of consumer goods.” (*Id.*) BMW NA contends it does not have an implied warranty obligation under Civil Code section 1792 because it was neither the “retail seller” nor “manufacturer” of the Subject Vehicle. Rather, BMW NA is the “distributor.” In support, BMW NA requests judicial notice of BMW NA’s Statement of Information filed with the State of California. (See RJN [ROA 44); McGregor Decl. ¶ 4, Exh. 1 [ROA 46].) The Statement of Information lists “Importer/wholesaler of motor vehicles, motorcycles, parts and accessories” as BMW NA’s “Type of Business.” (*Id*.) California appellate courts have not addressed whether distributors have obligations for an implied warranty of merchantability under the Song-Beverly Act. However, focusing on the plain text of the statute, the obligation only extends to manufacturers and retailers. (Civ. Code, § 1792.) Plaintiff would have the Court read the word “distributors” into the text of the statute, but the Court cannot insert language the Legislature omitted from a statute. (Code Civ. Proc., § 1858.) Additionally, while no published California appellate decision has directly adjudicated whether an importer/wholesaler is exempt from § 1792 in the context of new goods, several decisions provide strong support for BMW NA’s argument. (See *Rodriguez v. FCA US LLC* (2024) 17 Cal. 5th 189 [explaining that "for new products, liability extends to the manufacturer; for used products, liability extends to the distributor or retail seller and not to the manufacturer . . .]; *Mega RV Corp. v. HWH Corp*. (2014) 225 Cal. App. 4th 1318 [holding that the term "manufacturer" in Section1792 "does not include every component-part manufacturer contributing parts or components to a consumer good" reasoning that extending §

		1792 to every entity in the distribution chain "would be impractical and unfair" resulting in confusion for consumers, retail sellers, and the various entities in the manufacturing process]; *Ruiz Nunez v. FCA US LLC* (2021) 61 Cal. App. 5th 385 ["only distributors or sellers of used goods-not manufacturers of new goods-have implied warranty obligations in the sale of used goods" under § 1795.5].) This formulation — which assigns § 1792 liability for new goods to the manufacturer, and § 1795.5 liability for used goods to the distributor or retail seller — provides context for understanding how the Act allocates warranty responsibilities among manufacturers, retail sellers, and distributors. Based on this analysis, the Court concludes that Civil Code section 1792 is limited to only retail sellers and manufacturers. Given the judicially noticeable Statement of Information, and the fact that the Complaint does not sufficiently allege BMW NA is a manufacturer (Compl. ¶ 26.), the Court finds that BMW NA is not a “manufacturer”. Thus, the implied warranty of merchantability does not apply to BMW NA. *Implied Warranty of Fitness for a Particular Purpose* Civil Code section 1792.2 provides: “Every sale of consumer goods that are sold at retail in this state by a retailer or distributor who has reason to know at the time of the retail sale that the goods are required for a particular purpose, and that the buyer is relying on the retailer’s or distributor’s skill or judgment to select or furnish suitable goods shall be accompanied by such retailer’s or distributor’s implied warranty that the goods are fit for that purpose.” “ ‘A “particular purpose” differs from the ordinary purpose for which the goods are used in that it envisages a specific use by the buyer which is peculiar to the nature of his business whereas the ordinary purposes for which goods are used are those envisaged in the concept of merchantability and go to uses which are customarily made of the goods in question. [Citation.]’ ” (*American Suzuki Motor Corp. v. Superior Court* (1995) 37 Cal.App.4th 1291, n.2.) The Complaint alleges that the Subject Vehicle “constitutes ‘consumer goods’ used primarily for family or household purposes, and Plaintiffs have used the Subject Vehicle primarily for those purposes.” (Compl. ¶ 24.) The Complaint further alleges BMW NA and its authorized dealerships “had reason to know the purpose of the Subject Vehicle when Plaintiffs took possession of the Subject Vehicle.” (*Id*. at ¶ 43.) Even when construed liberally the Complaint fails allege facts to support BMW NA’s knowledge that the Subject Vehicle was required for a particular purpose at the time of purchase or that Plaintiffs relied on BMW NA’s skill or judgment to furnish suitable goods. The motion for judgment on the pleadings is granted as to the second cause of action with leave to amend.

		<u>Third Cause of Action for Negligent Repair</u> Plaintiffs concede the third cause of action for negligent repair is barred by the economic loss rule. (Opp. at 12:14-17 [ROA 52].) The motion for judgment on the pleadings is granted as to the third cause of action without leave to amend. Defendants to give notice.
60	**Ardakani vs. Youderian** **24-01374912**	**Motion for Summary Judgment and/or Adjudication** Defendants' motion for summary judgment is GRANTED as to Defendant Joshua Icasas, PA-C, and DENIED as to Defendant Ari Youderian, M.D. <u>Surreply (ROA 217)</u>: The Court exercises its discretion under California Rules of Court, rule 3.1300(d), and declines to consider Plaintiffs' sur-reply, which was filed three days before the hearing without leave of court. (See *Bozzi v. Nordstrom, Inc*. (2010) 186 Cal.App.4th 755, 765.) <u>Plaintiffs' Evidentiary Objections to the Declaration of Nicholas Rose, M.D., FAAOS, FACS (ROA 208):</u> 1. Overruled. 2. Sustained as to "femoral fracture." 3. Overruled. <u>Defendants' Evidentiary Objections to the Declaration of John G. Stark, M.D., P.A. (ROA 213):</u> 1. Overruled. 2. Overruled. 3. Sustained. 4. Overruled. 5. Overruled. 6. Overruled. 7. Overruled. <u>Legal Authority:</u> "A party may move for summary judgment in an action or proceeding if it is contended that the action has no merit or that there is no defense to the action or proceeding." (Code Civ. Proc., § 437c, subd. (a)(1).) "The motion for summary judgment shall be granted if all the papers submitted show that there is no triable issue as to any material fact and

		that the moving party is entitled to a judgment as a matter of law." (Code Civ. Proc., § 437c, subd. (c).) A cause of action has no merit if one of the elements of the cause of action cannot be separately established. (Code Civ. Proc., § 437c, subd. (o)(1).) Consequently, a defendant who establishes that an element cannot be established, has met its moving burden on a motion for summary judgment. (Code Civ. Proc., § 437c, subd. (p)(2).) Thereafter, "the burden shifts to the plaintiff or cross-complainant to show that a triable issue of one or more material facts exists as to the cause of action or a defense thereto." (*Ibid.*) "Upon the grant of a motion for summary judgment on the ground that there is no triable issue of material fact, the court shall, by written or oral order, specify the reasons for its determination." (Code Civ. Proc., § 437c, subd. (g).) "The order shall specifically refer to the evidence proffered in support of and, if applicable, in opposition to the motion that indicates no triable issue exists." (*Ibid.*) "The court shall record its determination by court reporter or written order." (*Ibid.*) "[I]n ' "any medical malpractice action, the plaintiff must establish: '(1) the duty of the professional to use such skill, prudence, and diligence as other members of his profession commonly possess and exercise; (2) a breach of that duty; (3) a proximate causal connection between the negligent conduct and the resulting injury; and (4) actual loss or damage resulting from the professional's negligence.' " ' " (*Powell v. Kleinman* (2007) 151 Cal.App.4th 112, 122.) In a medical malpractice action, it has consistently been held that "a physician is required to possess and exercise, in both diagnosis and treatment, that reasonable degree of knowledge and skill which is ordinarily possessed and exercised by other members of his profession in similar circumstances." (*Landeros v. Flood* (1976) 17 Cal.3d 399, 408.) "The standard of care against which the acts of a physician are to be measured is a matter peculiarly within the knowledge of experts; it presents the basic issue in a malpractice action and can only be proved by their testimony, unless the conduct required by the particular circumstances is within the common knowledge of the layman." (*Id.* at p. 410.) For medical malpractice claims, "the plaintiff must present evidence from an expert that the defendant breached his or her duty to the plaintiff and that the breach caused the injury to the plaintiff. [Citation.] ' "California courts have incorporated the expert evidence requirement into their standard for summary judgment in medical malpractice cases. When a defendant moves for summary judgment and supports his motion with expert declarations that his conduct fell within the community standard of care, he is entitled to summary judgment unless

the plaintiff comes forward with conflicting expert evidence." ' " (*Powell v. Kleinman, supra*, 151 Cal.App.4th at p. 123.)

Defendants' Initial Burden

In seeking summary judgment, Defendants offer the declaration of Nicholas Elias Rose, M.D., FAAOS, FACS.

Dr. Rose is licensed in California, board-certified in orthopedic surgery and surgery of the hand, completed a fellowship in upper-extremity and microvascular surgery, and has practiced as an orthopedic specialist since 1997. (Rose Decl., ¶¶ 1-2.) He states that he is familiar with the standards of care applicable to orthopedic surgeons such as Defendant Youderian and orthopedic physician assistants such as Defendant Icasas in treating patients such as Plaintiff Ardakani in Orange County in 2023. (Rose Decl., ¶ 4.)

Dr. Rose identifies the materials he reviewed, including the complaint, discovery responses, Plaintiff Ardakani's deposition, and records from the relevant surgical, orthopedic, hospital, neurologic, and imaging providers. (Rose Decl., ¶ 5.) He then summarizes the original humeral fractures, the preoperative consultation, the March 28, 2023 surgery, the nail becoming stuck during placement, the resulting distal fracture, the osteotomy and replacement nail, the postoperative radial-nerve palsy, and the subsequent treatment and testing. (Rose Decl., ¶ 6.)

Dr. Rose opines that Defendants complied with the applicable standards of care. (Rose Decl., ¶ 9.) As to Defendant Youderian, Dr. Rose states that open reduction and internal fixation with an intramedullary humeral nail was an appropriate treatment for the two humeral fractures; Dr. Youderian used appropriate surgical technique; the radial nerve was identified, palpated, and protected during reaming and nail passage; and the stuck nail and iatrogenic fracture were recognized procedural complications that were appropriately managed. (Rose Decl., ¶¶ 10–12.) As to Defendant Icasas, Dr. Rose opines that his intraoperative assistance complied with the standard applicable to a physician assistant assisting with this procedure. (Rose Decl., ¶ 13.) Dr. Rose also opines that the postoperative observation, follow-up, and timing of nerve testing were appropriate. (Rose Decl., ¶ 14.)

As to causation, Dr. Rose opines to a reasonable medical probability that nothing Defendants did or failed to do in violation of the standard of care caused or contributed to Plaintiffs' claimed injuries. (Rose Decl., ¶ 15.) He explains that radial motor and sensory nerve injuries are known risks of humeral-shaft ORIF and may occur in the absence of negligence. (Rose Decl., ¶ 16.)

		Defendants therefore satisfy their initial burden as to both moving defendants. The burden shifts to Plaintiffs to demonstrate a triable issue of material fact. <u>Plaintiffs' Opposition re: Defendant Youderian</u> In opposition, Plaintiffs offer the declaration of John G. Stark, M.D., P.A. Dr. Stark has been licensed to practice medicine since 1977, has been board-certified in orthopedic surgery since 1984, and has substantial orthopedic surgical experience. (Stark Decl., ¶ 1.) He reviewed the pertinent medical records, imaging, operative materials, deposition testimony, and Dr. Rose's declaration, and personally examined Plaintiff Ardakani. (Stark Decl., ¶¶ 2–6.) Dr. Stark opines that Defendant Youderian fell below the standard of care during the March 28, 2023 surgery. (Stark Decl., ¶¶ 7, 11(f), 12.) In support, he discusses the operative course documented in the records. (Stark Decl., ¶¶ 7, 11(c)–(f), 12(c)–(f).) Dr. Stark further opines, to a reasonable degree of medical probability, that Defendant Youderian's surgical management fell below the standard of care and was a substantial factor in causing Plaintiff Ardakani's neurologic and functional deficits. (Stark Decl., ¶ 12.) Dr. Stark's opinions directly conflict with those of Dr. Rose. Plaintiffs have presented competent conflicting expert evidence creating triable issues of material fact as to breach and causation. Defendants argue that Dr. Stark's criticism of the decision to use an intramedullary nail reflects only a difference of medical opinion as to the available treatment options. However, Dr. Stark's opinions are not limited to procedure selection. He also challenges the manner in which the procedure was performed. (Stark Decl., ¶¶ 7, 11(c)–(f), 12.) Defendants also argue that Dr. Stark identifies only possible mechanisms of injury because he cannot pinpoint when the radial nerve was damaged. Although Dr. Stark discusses several possible mechanisms, he bases those opinions on events documented in the operative report and ultimately opines, to a reasonable degree of medical probability, that Defendant Youderian's surgical management fell below the standard of care and was a substantial factor in causing Plaintiff Ardakani's deficits. (Stark Decl., ¶¶ 11(c)–(f), 12(c)–(f).) His inability to identify the precise moment of injury does not negate that opinion. Dr. Stark's causation opinion is also supported by the documented chronology. (Stark Decl., ¶¶ 6–11.) Accordingly, the motion for summary judgment is DENIED as to Defendant Youderian.

		<u>Plaintiffs' Opposition re: Defendant Icasas</u> Dr. Stark states generally that, based on his education, training, and experience, he is familiar with the standards of care applicable to "other non-physician medical personnel" providing orthopedic care. (Stark Decl., ¶ 3.) In discussing the reaming process, he states that "[t]here is no satisfactory way to stabilize" the fragment and that "[t]he assistant will not have a way to grip it," even with an attempt. (Stark Decl., ¶ 12(d).) Plaintiffs also rely on Defendant Icasas's testimony that he assisted by stabilizing the arm, providing counter-traction and support, and holding the elbow. He also could not recall whether he was responsible for retracting or protecting the radial nerve or whether he personally palpated the nerve. They argue that this testimony, considered with Dr. Stark's opinions regarding inadequate nerve protection, creates a triable issue as to Defendant Icasas's intraoperative care. However, this testimony does not create a triable issue absent expert testimony that a specific act or omission by Icasas breached the physician-assistant standard of care and caused Plaintiff Ardakani's injury. Dr. Stark does not opine that Defendant Icasas breached the standard of care applicable to a physician assistant. Nor does he identify a negligent act or omission by Icasas, state that Icasas failed to perform an assigned duty, or connect Icasas's conduct to the radial-nerve injury. Instead, his ultimate opinions identify only Defendant Youderian as having deviated from the standard of care and as a substantial factor in causing Plaintiff Ardakani's injuries. (Stark Decl., ¶¶ 7, 11(f), 12.) Accordingly, Plaintiffs have not presented conflicting expert evidence sufficient to create a triable issue as to breach or causation by Defendant Icasas. A cause of action for loss of consortium is, by its nature, dependent on the existence of a cause of action for tortious injury to a spouse. (*Hahn v. Mirda* (2007) 147 Cal.App.4th 740, 746.) Because Plaintiffs have not raised a triable issue on the negligence claim against Icasas, the loss-of-consortium claim also fails as to him. Thus, the motion for summary judgment is GRANTED as to Defendant Icasas. Defendants to give notice.

61	**Palafox vs. American Honda Motor Co., Inc.** **24-01405648**	**Motion for Summary Judgment and/or Adjudication** The Motion for Summary Judgment or Adjudication, brought by Defendant American Honda Motor Co., Inc. is DENIED, in whole. Initially, Plaintiff's Objections to the Declaration of Saed Atallah, Objections Nos. 1 through 6, are SUSTAINED, for lack of personal knowledge and hearsay. The bulk of Counsel's declaration purports to recite the repair history of the relevant vehicle and attached repair orders; however, Counsel has not established personal knowledge, as to the information stated. Personal knowledge requires "a present recollection of an impression derived from the exercise of the witness' own senses." (*People v. Lewis* (2001) 26 Cal.4th 334, 356.) Additionally, "[i]n the absence of personal knowledge, a witness's testimony or a declarant's statement is no better than rank hearsay or, even worse, pure speculation." (*People v. Valencia* (2006) 146 Cal.App.4th 92, 104.) "The admission of a hearsay statement not based on personal knowledge puts the factfinder in the position of determining the truth of a statement without knowledge of its source and without any means of evaluating the reliability of the source of the information." (*Ibid.*) Further, the attached repair orders have not been properly authenticated, as to Exhibits 4, 5 and 7. Although Plaintiff labelled her objection as "[m]istates the document," she challenges the authenticity of the exhibits, in each case stating the documents are not the repair orders they purport to be. (See Objections Nos. 3, 4 and 6 [ROA No. 189].) Proceeding to the merits, with respect to Plaintiff's First Cause of Action, "every sale of consumer goods that are sold at retail in this state shall be accompanied by the manufacturer's and the retail seller's implied warranty that the goods are merchantable." (Civ. Code, § 1792.) As relevant here, the "implied warranty of merchantability" requires a consumer good "[p]ass without objection in the trade under the contract description" and be "fit for the ordinary purposes for which such goods are used." (Civ. Code, § 1791.1, subd. (a)(1) and (2).) However, the above requirements are "more or less a synonym" for each other and "substantially overlap." (*Brand v. Hyundai Motor America* (2014) 226 Cal.App.4th 1538, 1546 and 1550.) "Accordingly, a core test of merchantability is fitness for the ordinary purpose for which such goods are used." (*Ibid.* [internal quotations omitted].) A vehicle is "fit for the ordinary purpose" for which it is used, when it is "in safe condition and substantially free of defects." (*Isip v. Mercedes-*

		Benz USA, LLC (2007) 155 Cal.App.4th 19, 27; See also *Brand v. Hyundai Motor America* (2014) 226 Cal.App.4th 1538, 1546.) "[A] new car need not 'be perfect in every detail'; rather, its implied merchantability requires only that a vehicle be reasonably suited for ordinary use." (*Brand v. Hyundai Motor America* (2014) 226 Cal.App.4th 1538, 1546.) The implied warranty of merchantability has a maximum duration of one-year. (Civ. Code, § 1791.1, subd. (c).) In this instance, it is undisputed the implied warranty of merchantability expired no later than July 10, 2024. (See SSUF Nos. 1 and 18 [ROA No. 185].) Initially, in challenging Plaintiff's claim for breach of the implied warranty, Defendant cites the undisputed fact that Plaintiff used the vehicle "for ordinary personal and family transportation, including work, her children's school and daycare, Disneyland and other trips." (See Motion: 6:24-26, citing SSUF No. 8.) Defendant suggests the above fact establishes the vehicle was "fit for the ordinary purpose," however, Defendant's suggestion runs contrary to applicable authority: "We reject the notion that merely because a vehicle provides transportation from point A to point B, it necessarily does not violate the implied warranty of merchantability. A vehicle that smells, lurches, clanks, and emits smoke over an extended period of time is not fit for its intended purpose." (*Isip v. Mercedes-Benz USA, LLC* (2007) 155 Cal.App.4th 19, 27.) Next, in challenging Plaintiff's claim, Defendant analogizes to *Brand v. Hyundai Motor America* (2014) 226 Cal.App.4th 1538, wherein the Court of Appeal held that "a reasonable jury could conclude that a vehicle sunroof that opens and closes *on its own* creates a substantial safety hazard." (*Id.* at p. 1547.) In *Brand*, the Court of Appeal reversed a judgment of nonsuit in favor of the car manufacturer, on the claim for breach of the implied warranty of merchantability. (*Id.* at p. 1541.) In citing *Brand,* the implication is that Plaintiff's vehicle suffered from issues more minor than a misbehaving sunroof; however, Defendant concedes Plaintiff made multiple complaints regarding the vehicle shutting off while driving. (See Motion: 2:17-19, 2:26-28, 3:7-9 and 3:17-19 [citing SSUF Nos. 14, 26, 27 and 28].) The Court finds that a vehicle which randomly shuts off while driving poses a substantial safety hazard, at least equal to a defective sunroof. Finally, Defendant asserts the vehicle was fit for its ordinary purpose, as all complaints were either repaired or could not be duplicated; however, Defendant has not supported this assertion with sufficient admissible evidence.

		To support this argument, Defendant relies entirely on Exhibits 4 through 7 (SSUF Nos. 14-17, 24 and 26-28); however, as indicated above, Defendant failed to properly authenticate Exhibits 4, 5 and 7. Moreover, Defendant relies on hearsay statements within the documents: For example, Defendant relies on the following statement, to prove a defective battery was the cause of Plaintiff's complaint on April 1, 2024, and was subsequently repaired: "Battery found bad. Replaced battery, would not start, hooked up HDS, clears all battery codes. Tested. Battery good. Car starts. Complaint no longer present." (See ¶6 of Atallah Declaration and Exhibit 4 thereto [ROA No. 159] [capitalization altered from original].) Defendant relies on the statements "unable to duplicate customers concern" and "test drove vehicle on the street at 19 mph for 43 miles still no malfunction," to establish that Plaintiff's complaint on April 9, 2024, did not identify a defect. (¶7 of Atallah Declaration and Exhibit 5 thereto [ROA No. 159].) Defendant relies on a notation within Exhibit 6, which states "Replace Relay Module," to establish that Plaintiff's complaints on April 13, 2024, were resolved by the stated repair. (¶8 of Atallah Declaration and Exhibit 6 thereto [ROA No. 159]) Finally, Defendant relies on a notation within Exhibit 7 which states "starter was replaced and vehicle started up," to demonstrate that Plaintiff's complaint dated July 9, 2024, was repaired. (¶9 of Atallah Declaration and Exhibit 7 thereto [ROA No. 159].) Defendant has not, however, established a hearsay exception for the above statements, to permit their consideration for their truth. Based on the above, Defendant failed to meet its moving burden, with respect to the First Cause of Action. Additionally, Plaintiff submitted sufficient evidence to establish a triable issue: Plaintiff's declaration indicates the vehicle turned off while driving, multiple times between April 1, 2024, and July 9, 2024. (¶3-¶6 of Palafox Declaration [ROA No. 187].) Consequently, Plaintiff's declaration indicates Defendant's reported repairs did not remedy the defective performance of the vehicle. (*Ibid.*) Per Plaintiff, "[t]he ongoing issues of having the Vehicle turn off and not shift into gear was a serious safety concern, putting my family and other people on the road at serious risk and I was not willing to continue driving the Vehicle." (¶7 of Palafox Declaration [ROA No. 187].)

		The above is sufficient to demonstrate a triable issue, with respect to whether the vehicle was "fit for its ordinary purpose," as required to be merchantable. With respect to Plaintiff's Second Cause of Action, if a manufacturer "is unable to service or repair a new motor vehicle…to conform to the applicable express warranties after a reasonable number of attempts, the manufacturer shall either promptly replace the new motor vehicle…or promptly make restitution to the buyer…." (Civ. Code, § 1793.2, subd. (d)(2).) As explained in *Silvio v. Ford Motor Co.* (2003) 109 Cal.App.4th 1205, "[t]he statute requires the manufacturer to afford the specified remedies of restitution or replacement if that manufacturer is unable to repair the vehicle 'after a reasonable number of *attempts.*'" (*Id.* at p. 1208.) "'Attempts' is plural. The statute does not require the manufacturer to make restitution or replace a vehicle if it has had only one opportunity to repair that vehicle." (*Ibid.*) Citing *Silvio*, Defendant asserts Plaintiff's claim fails. (See Motion: 8:27-9:2 [ROA No. 157].) The implied argument is that *each* reported complaint was repaired after one attempt; however, as explained above, Defendant did not establish via admissible evidence that Plaintiff's complaints were repaired. Additionally, Plaintiff submitted sufficient evidence to dispute this assertion and establish a triable issue. Based on all the above, Defendant's Motion for Summary Judgment and/or Adjudication is DENIED.